

SUPERIOR COURT OF JUSTICE - ONTARIO

RE: Cameron Perry, Applicant

AND:

Fern Fujimoto, Respondent

BEFORE: Mr. Justice F. Graham

COUNSEL: Mr. H. E. Warren, for the Applicant

Ms. M. A. Cummings, for the Respondent

HEARD: March 23 and May 11, 2011

ENDORSEMENT

Introduction and Issues

- [1] Mr. Perry and Dr. Fujimoto married in 1990. Their daughter was born in 1993 and their son was born in 1996.
- [2] Mr. Perry and Dr. Fujimoto separated in 2008.
- [3] Following separation, the children resided with both parents on a two week about schedule.
- [4] In September of 2009, the parties signed Minutes of Settlement requiring Mr. Perry, on a without prejudice basis, to pay Dr. Fujimoto \$2,500 per month in temporary child support commencing October 1, 2009. Mr. Perry has paid that amount since.
- [5] In early September of 2010, the children stopped residing with Dr. Fujimoto. Although the children spent some overnights at her home commencing in December of 2010, their primary residence remained with Mr. Perry until late March of 2011 when, upon hearing a motion, this court ordered the children to reside on a one week about schedule with both parents on a temporary basis.
- [6] The court reserved its ruling in relation to other issues that were argued during the motion. This is the court's ruling in relation to the remaining issues.
- [7] By way of Notice of Motion dated October 13, 2010, Dr. Fujimoto sought a return to the two week about schedule for the children, temporary child support and temporary spousal

support commencing on October 1, 2010. She also sought an order requiring Mr. Perry to maintain life insurance of \$1,000,000 to secure his support obligations. She also sought other relief that she did not pursue in oral argument.

- [8] By way of Notice of Motion dated January 4, 2011, Mr. Perry sought, temporary child support commencing September 6, 2010, and repayment of the child support paid to Dr. Fujimoto since September 6, 2010. He also sought other relief that he did not pursue in oral argument.
- [9] The issues the court must determine are: Mr. Perry's income for support purposes; Dr. Fujimoto's income for support purposes; whether temporary child support should be paid and, if so, by whom, for what period, and how much; whether temporary spousal support should be paid to Dr. Fujimoto and, if so, for what period, and how much; and how extraordinary expenses for the children should be paid; and whether any temporary support orders should be secured.

Mr. Perry's Income

- [10] Mr. Perry has been employed as a corporate executive for many years. He is paid by way of salary, bonus, and stock.
- [11] Without taking into account peripheral items such as air miles earned during business travel or the validity of some of the expenses written off against an income property he owns, the court finds that his income in 2010 for temporary support purposes was about \$353,000.

Dr. Fujimoto's Income

- [12] Dr. Fujimoto has operated her own business as an optometrist for many years.
- [13] Her financial statement dated February 22, 2011, indicates that her net income in 2010 was \$73,744, comprised of \$70,000 in net business income, \$2,496 in investment income, and \$1,248 in other business income.
- [14] The financial statement also indicates that Dr. Fujimoto received disability payments in 2010 as a result of injuries sustained in a motor vehicle accident in 2009. The amount received in 2010 was about \$19,000. The court notes that Dr. Fujimoto also received about \$12,000 in disability payments in 2009 as a result of the motor vehicle accident and she did not declare those payments as income in her 2009 tax return.
- [15] Given that the disability payments appear to be tax free, the court will gross up the amount received in 2010 to \$27,000 and add it to Dr. Fujimoto's other income of \$73,477.
- [16] Mr. Perry asked the court to impute \$35,000 in investment income to Dr. Fujimoto based on her having about \$700,000 in cash available to be invested at 5 percent.

- [17] Although Dr. Fujimoto might have that amount available and, if so, could earn that sort of return from certain blue chip investments, the court will take a more conservative approach and impute \$15,000 of investment income to Dr. Fujimoto based on \$500,000 of cash being available to invest at an average return of 3 percent. Given that Dr. Fujimoto's income estimate for 2010 included about \$2,500 in investment income, the court will add \$12,500 to her other income.
- [18] As a result, without taking into account peripheral items such as the validity of some of the expenses written off against her business, the court finds that Dr. Fujimoto's income in 2010 for temporary support purposes was about \$113,000.

Temporary Child Support – September, 2010 to March, 2011

- [19] From almost the beginning of September of 2010 until almost the end of March of 2011, the children resided primarily with Mr. Perry. Accordingly, Dr. Fujimoto owes temporary child support to Mr. Perry for seven months, commencing September 1, 2010.
- [20] Pursuant to section 3 of the *Child Support Guidelines* (CSG) the table amount for an income of \$113,000 is \$1,563 per month.
- [21] Accordingly, Dr. Fujimoto owes Mr. Perry \$10,941 in temporary child support for those seven months.
- [22] In addition, she must repay the \$2,500 per month he paid her in temporary child support during that period. That amounts to \$17,500.
- [23] As a result, Dr. Fujimoto owes Mr. Perry \$28,441 in relation to temporary child support from September 1, 2010 to March 31, 2011.

Temporary Child Support – April, 2011 onward

- [24] A shared custody regime has been in place since the end of March, 2011. As a result, temporary child support for April, 2011 onward must be determined pursuant to section 9 of the CSG.
- [25] In addition, given that Mr. Perry's income is greater than \$150,000 per year, section 4 of the CSG must also be considered as indicated in *Sirdevan v. Sirdevan* 2010 ONSC 2375.
- [26] The table amount for an income of \$353,000 is \$4,347 per month. Accordingly, the set-off amount in this case is \$2,784 per month.
- [27] The total of the parties' incomes is about \$466,000. Mr. Perry's share is 75.8 percent and Dr. Fujimoto's share is 24.2 percent.
- [28] The court finds that Mr. Perry's budget for solely child-related expenses is about \$1,161 per month.

- [29] The court finds the following budgeted amounts to be reasonable: \$111 for children's cell phones, \$40 for school supplies, \$70 for camp, \$200 for activities, \$40 for allowance, \$100 for taxi fares, \$100 for books, videos, etc. Although the court finds that \$500 for children's clothing is high, Dr. Fujimoto claimed a similar amount. Accordingly, the court finds that this amount does not exceed the generous ambit within which reasonable disagreement is possible. The court does not accept that \$150 for babysitting is reasonable given that the youngest child is 14 years old and will be 15 years old later this month.
- [30] Mr. Perry's budget for indirect child-related expenses is about \$6,560 per month.
- [31] The court finds that his indirect child-related expenses budget is reasonable: \$945 for meals outside the home, \$392 for recreation, \$392 for vacation, \$293 for gifts, \$1,222 for home mortgage payments, \$317 for home property taxes, \$136 for home insurance, \$233 for home maintenance, \$218 for household supplies, \$294 for furnishings, \$80 for hair care, \$48 for water, \$185 for heat and electricity, \$96 for home phone, \$122 for cable and internet, \$769 for groceries, \$30 for laundry, \$367 for car gas and oil, \$105 for car insurance, \$60 for car maintenance, \$75 for 407 ETR, parking, etc., \$175 for car loan, and \$6 for car licence.
- [32] The court finds it is appropriate in this case, with two teenage children, to allocate the following portions of these expenses as solely child-related: \$312 for meals outside the home and \$78 for gifts as claimed by Mr. Perry, 60 percent of the budgeted amounts for recreation, vacation, mortgage, taxes, home insurance, home maintenance, household supplies, furnishings, water, heat and electricity, home phone, cable, groceries, and laundry, and 50 percent of the budgeted amounts for hair care and car expenses.
- [33] Accordingly, those solely child-related expenses amount to roughly an additional \$3,263 per month.
- [34] The court finds, therefore, that Mr. Perry reasonably budgets a total of \$4,424 per month for child-related expenses.
- [35] The court finds that Dr. Fujimoto's budget for solely child-related expenses is about \$1,915 per month.
- [36] The court finds the following budgeted amounts to be reasonable: \$100 for taxi fares, \$50 for hair care, \$70 for camp, \$380 for counselling, \$40 for allowance, \$250 for activities and lunches, \$200 for computers and other school expenses, \$72 for their son's travel, and \$203 and for their son's tutor. Although the court finds that \$550 for children's clothing is high, Mr. Perry claimed a similar amount. Accordingly, the court finds that this amount does not exceed the generous ambit within which reasonable disagreement is possible. The court does not accept that \$58 for child care is reasonable given that the youngest child is 14 years old and will be 15 years old later this month. Further, the court will not take into account \$334 per month for RESP contributions given that the parties did not provide the court with sufficient information about the

RESP arrangement for the court to include RESP savings in this temporary support analysis.

- [37] Dr. Fujimoto's budget for indirect child-related expenses is about \$9,918 per month.
- [38] The court finds that the following rolled-up aspects of her indirect child-related expenses budget are reasonable: \$775 for utilities, \$971 for transportation, \$700 for vacation, \$200 for gifts, and \$354 for entertainment and recreation. On the other hand, the court finds that her rolled-up budget of \$5,593 per month for home insurance, property taxes, home maintenance, and renovations to add a bath and shower, is unreasonably high, particularly since Dr. Fujimoto does not have a mortgage, and because the court was not provided with sufficient information about the parties' homes to be able to assess the reasonableness of the renovations. Accordingly, the court will limit Dr. Fujimoto's home-related amount to a more reasonable figure of \$2,200 per month which is the total amount claimed by Mr. Perry for home-related expenses including mortgage payments and furnishings. On the other hand, the court finds that Dr. Fujimoto's rolled-up claim of \$1,325 for household expenses, including groceries, is unreasonably low, so the court will increase this amount to a more reasonable figure of \$1,800 per month.
- [39] The court finds it is appropriate in this case, with two teenage children, to allocate the following portions of these expenses as solely child-related: \$180 for gifts and \$462 for vacation as claimed by Dr. Fujimoto, 60 percent of the budgeted amounts for utilities, entertainment and recreation, the revised amount for home-related expenses, and the revised amount for household expenses, and 50 percent of the budgeted amount for transportation.
- [40] Accordingly, those solely child-related expenses amount to roughly an additional \$4,204 per month.
- [41] The court finds, therefore, that Dr. Fujimoto reasonably budgets a total of \$6,119 per month for child-related expenses.
- [42] The total of child-related expenses budgeted by both parents is, therefore, \$10,543 per month.
- [43] Given the ratio of incomes, Dr. Fujimoto should be spending 24.2 percent of that amount or about \$2,551 per month on child-related expenses. Given that she should reasonably spend \$6,119 per month, a transfer to her of \$3,568 per month would make up the difference.
- [44] That completes the section 9(a) and section 9(b) CSG analyses. The set-off amount of \$2,784 per month (which serves to remind the court to focus on the principle that both parents must contribute to the support of the children) and the transfer amount of \$3,568 per month (which recognizes the increased costs of shared parenting) are helpful as reference points at the commencement of the s. 9(c) analysis which will be key to ensure that the final outcome is fair in light of the conditions, means, needs and other circumstances of each parent and child.

- [45] The court was provided with very little information about the parties' lifestyle as a family or individually or their financial history.
- [46] Mr. Perry is currently 48 years old. He owns a home that he values at \$250,000 with a mortgage of about \$102,800. He owns an investment commercial property that he values at \$211,000 with a mortgage of about \$134,000. He owns a vehicle that he values at \$32,000. He indicates in his most recent financial statement that he has an RRSP worth about \$334,000, an investment account worth about \$135,000, and about \$2,400 cash in the bank. He indicates that he owes about \$16,500 to Visa, \$50,000 on a line of credit, and \$15,000 on a promissory note to Dr. Fujimoto. He indicates that he has a notional tax liability of \$111,000 if he were to close out his RRSP. Thus, he has a net worth of about \$400,000.
- [47] Dr. Fujimoto is currently 48 years old. She owns a home which she recently purchased mortgage-free but the court was not provided with its value. She owns her optometry business which she values at \$109,000. She owns a vehicle that she values at \$30,900. She indicates in her most recent financial statement that she has an RRSP worth about \$19,000, a GIC worth about \$180,700, and about \$878,000 cash in the bank. She also indicates that she is owed \$15,000 by Mr. Perry in relation to a promissory note. She indicates that she owes \$28,000 to CRA, \$8,000 to business accounts payable, and \$9,200 to Visa. She also indicates that she has a notional tax liability of \$64,000 although she does not indicate what type of tax liability. Presumably, Dr. Fujimoto used some of her cash on hand to purchase her home. It was on that basis that the court estimated earlier that she may have about \$500,000 in cash on hand to invest. Thus, she has a net worth of about \$1,406,000.
- [48] As previously indicated, the court does not have sufficient information at this stage of the proceedings to address home renovations or RESP funds. Similarly, the court does not have sufficient information to address the issue of savings. This is not surprising given that the court usually does not have this information at a motion for temporary support.
- [49] Upon consideration of all of the evidence provided in relation to the conditions, means, needs and other circumstances of each parent and child, including the difference in net worth between the parents, and the reference points provided by the set-off amount of \$2,784 and the notional transfer amount of \$3,568, the court finds that \$3,000 per month in temporary child support, which is very near the figure of \$3,074 suggested by Dr. Fujimoto, in addition to Dr. Fujimoto's own income, would be sufficient to meet the children's basic needs and various discretionary expenses such as vacation and recreation.
- [50] Accordingly, Mr. Perry shall pay temporary child support of \$3,000 per month to Dr. Fujimoto commencing April 1, 2011. Given that he has presumably already paid \$2,500 for April and May, 2011, he owes her an additional \$1,000 for those two months combined.

Temporary Spousal Support – September, 2010 to March, 2011

- [51] The court is governed by s. 15.2 of the *Divorce Act* with respect to spousal support.
- [52] Subsections 15.2 (4), (5) and (6) provide,
- (4) FACTORS - In making an order [for spousal support] the court shall take into consideration the condition, means, needs and other circumstances of each spouse, including
- (a) the length of time the spouses cohabited;
- (b) the functions performed by each spouse during cohabitation; and
- (c) any order, agreement or arrangement relating to the support of either spouse.
- (5) SPOUSAL MISCONDUCT - In making an order [for spousal support] the court shall not take into consideration any misconduct of a spouse in relation to the marriage.
- (6) OBJECTIVES OF SPOUSAL SUPPORT ORDER – An order [for spousal support] that provides for the support of spouse should
- (a) recognize any economic advantages or disadvantages to the spouses arising from the marriage or its breakdown;
- (b) apportion between the spouses any financial consequences arising from the care of any child of the marriage over and above any obligation for the support of any child of the marriage;
- (c) relieve any economic hardship of the spouses arising from the breakdown of the marriage; and
- (d) in so far as practicable, promote the economic self-sufficiency of each spouse within a reasonable period of time.
- [53] These provisions speak to three different types of spousal support: compensatory, contractual, and non-compensatory (see *Bracklow v. Bracklow* [1999] 1 S.C.R. 420).
- [54] There is no contractual basis for temporary spousal support in this case.
- [55] The parties cohabited for more than 18 years.
- [56] Mr. Perry testified at questioning that he has been required to travel for work fairly frequently but when he has been at home he has not been required to work long hours or on weekends. As noted above, his income in 2010 was about \$353,000 and he has a net worth of about \$400,000.

- [57] Dr. Fujimoto testified that she worked 4 or 5 days per week until the parties' daughter was born. At that point, she took a 3 month maternity leave and then reduced her work to 3 or 4 days per week so she could care for their daughter. She took a 5 month maternity leave when the parties' son was born. Then she continued to work 3 or 4 days per week so she could care for both children. She testified that the only other periods she did not work were for about 8 months during a family sojourn in Spain in 2006, and for about 3 months in 2009 as a result of the motor vehicle accident. She testified that, otherwise, she continued to work 3 or 4 days per week, although since the accident she sees a smaller number of patients per day because she sustained soft tissue injury which limits how many patients she is able to see per day.
- [58] Dr. Fujimoto also testified that her optometry business has declined since 2004, as a result of the Ontario government de-insuring periodic eye examinations.
- [59] For the purpose of the motions, it was agreed that Dr. Fujimoto's net practice income was: \$131,000 in 2004, \$97,000 in 2005, \$97,000 in 2006, \$126,000 in 2007, and \$126,000 in 2008.
- [60] Evidence was filed indicating that gross billings for Dr. Fujimoto's practice were: \$278,000 in 2007, \$329,000 in 2008, \$247,000 in 2009, and \$300,000 in 2010.
- [61] As noted above, the court found that her net income in 2010 was about \$113,000 and she has a net worth of about \$1,406,000.
- [62] Although Dr. Fujimoto initially suggested that temporarily leaving her practice in 2006 for the family sojourn in Spain was a basis for a compensatory claim for spousal support, she did not pursue that submission when it was pointed out that her agreed income in 2006 was the same as her agreed income in 2005 and her agreed incomes in 2007 and 2008 were almost as high as her agreed income in 2004.
- [63] Further, although Dr. Fujimoto reduced her working week to care for the parties' children, her testimony was that she did not increase her working week once the children were older because there was not enough work available due to the de-insuring of periodic eye examinations.
- [64] As a result, the court is not persuaded that a compensatory basis exists for temporary spousal support.
- [65] On the other hand, with respect to non-compensatory temporary support, Dr. Fujimoto's income is significantly lower than Mr. Perry's income and her uncontradicted evidence is that she sees fewer patients per day as a result of the motor vehicle accident. Further, she has not received any disability payments since June of 2010. The court bears in mind, however, that her gross billings in 2010 exceeded her gross billings in 2007 and 2009.
- [66] Mr. Perry asks the court not to order temporary spousal support based on the effects of the motor vehicle accident because Dr. Fujimoto is suing the other driver for damages and he suggests that raises the danger that she will be compensated twice for the same injury.

- [67] The court appreciates that Mr. Perry may be correct about the eventual outcome of the motor vehicle lawsuit but success in any lawsuit is far from certain and recovery may take many years. A retroactive adjustment may be possible in the future if Dr. Fujimoto recovers damages for loss of income during this period.
- [68] Upon consideration of the condition, means, needs and other circumstances of each spouse, including the factors and objectives set out above, the court finds that Dr. Fujimoto should receive temporary spousal support, on a non-compensatory basis, in the amount of \$4,000 per month commencing September 1, 2010 until March 31, 2011.
- [69] The court appreciates that Dr. Fujimoto asked for temporary support to commence on October 1, 2010, but the court finds that it would be more just and will make later calculations easier for the parties if the court's temporary child support and temporary spousal support orders commence on the same date.
- [70] The Spousal Support Advisory Guidelines (SSAG) suggests a range of \$3,971 to \$5,295 per month for the parties' incomes with two children residing with the spousal support payor.
- [71] The amount determined by the court is within the low end of the SSAG range. The court finds that support in the low end of the range is appropriate given: Mr. Perry's income exceeds the SSAG ceiling; Dr. Fujimoto's net worth greatly exceeds Mr. Perry's net worth; Dr. Fujimoto will benefit indirectly from the order for temporary child support; and although Dr. Fujimoto may be able to establish that her ability to earn income has been compromised by the effects of the motor vehicle accident, and, as a result, she may have a non-compensatory basis for spousal support, that outcome is not certain. Nevertheless, pending final determination of her claim for spousal support, Dr. Fujimoto should be in a position to maintain a reasonable standard of living, particularly in the relatively recent aftermath of the breakdown of a marital relationship involving a high joint income.
- [72] Accordingly, Mr. Perry owes Dr. Fujimoto \$28,000 in relation to temporary spousal support from September 1, 2010 until March 31, 2011.

Temporary Spousal Support – April, 2011 onward

- [73] The court finds that the same considerations that were relevant from September, 2010 until March, 2011, continue to apply from April, 2011 onward.
- [74] Accordingly, upon consideration of the condition, means, needs and other circumstances of each spouse, including the factors and objectives set out above, the court finds that Dr. Fujimoto should continue to receive temporary spousal support in the amount of \$4,000 per month, from April 1, 2011 onward.
- [75] The court is aware that the SSAG suggests a range of \$3,829 to \$5,837 per month for the parties' incomes with shared residence for two children.

- [76] The amount determined by the court is within the low end of the SSAG range. The court finds that support in the low end of the range is appropriate for the reasons mentioned in paragraph 71.
- [77] Accordingly, Mr. Perry owes Dr. Fujimoto \$8,000 in relation to temporary spousal support for the months of April and May, 2011, and he shall continue to pay temporary spousal support of \$4,000 per month on an on-going basis commencing June 1, 2011.

Extraordinary Expenses

- [78] Extraordinary expenses are governed by section 7 of the *CSG*.
- [79] Because the court was not informed of the RESP particulars, the court is unable to address the issue of cost-sharing for the post-secondary education for the parties' daughter who will be graduating from high school this spring. Hopefully, the ratio set out for the payment of other extraordinary expenses will assist the parties in working out a reasonable plan without delay so their daughter can have confidence that her academic financial needs will be met in a timely way with the assistance of the parties.
- [80] It is important to keep in mind that the court's temporary child support analysis proceeded on the basis that each party is solely responsible for the expenses listed in their budget. Thus, for example, Dr. Fujimoto is solely responsible for \$380 per month for the children's counselling, \$203 per month for their son's tutor, \$72 per month for their son's travel, \$250 per month for children's activities and lunches, and \$200 per month for children's computers and other school expenses, etc., as indicated in her budget. Similarly, for example, Mr. Perry is solely responsible for \$200 per month for the children's activities, etc., as indicated in his budget.
- [81] Any additional extraordinary expenses, such as any medical expenses for the children that exceed Mr. Perry's insurance limit, shall be shared, on a temporary basis, based on the parties' proportionate incomes after payment of temporary spousal support.
- [82] Mr. Perry's annualized income after payment of temporary spousal support is \$305,000 and Dr. Fujimoto's annualized income after receipt of temporary spousal support is \$161,000.
- [83] Accordingly, on a temporary basis, Mr. Perry shall pay 65.5 percent of any additional extraordinary expenses and Dr. Fujimoto shall pay 34.5 percent, commencing September 1, 2011.
- [84] Written proof of payment for any such additional extraordinary expenses incurred between September 1, 2010 and May 31, 2011, shall be provided to the non-paying parent by the paying parent on or before July 31, 2011. The non-paying parent shall provide the paying parent with re-imbursement of the non-paying parent's share within 30 days of receiving such written proof.

- [85] Written proof of payment for any such additional extraordinary expenses incurred after May 31, 2011, shall be provided to the non-paying parent by the paying parent within 90 days of the date of payment and the non-paying parent shall provide the paying parent with re-imbursement of the non-paying parent's share within 30 days of receiving such written proof.

Security for Temporary Support

- [86] Mr. Perry currently maintains life insurance on his life in the amount of \$1,000,000. He shall continue to do so, with the beneficiary being Dr. Fujimoto, in trust for herself and the children, as security for temporary support, as long as a temporary order for support for one or both of the parties' children and/or Dr. Fujimoto remains in force.

Orders

- [87] Temporary orders to go accordingly. Support deduction order to issue.

Costs

- [88] If the parties are unable to resolve the issue of costs, either party may serve and file a brief written submission as to costs within 30 days. If either party does so, the other party may then serve and file a brief written response within 30 days, and the first party to file may then serve and file a very brief written reply within 15 days.

F. Graham J.

Date: May 31, 2011